

Brand Strategy

Executive Summary

Millennials are a generation unlike any other. They are the largest consumer generation, and therefore, comprise a majority of the purchasing power for brands. It should come as no surprise, then, that brands are paying more attention to the habits of these millennials. They are wildly different, and brands must recognize that in order to effectively market to them. Brands must pay close attention to the trends and purchasing decisions of Millenials to optimize their target market and profit margins.

Millennials are also the generation that puts the biggest value on health. They strive to be healthy and are constantly trying new wellness trends, whether that be a new workout class or purchasing an at-home gym or trying the newest superfood. They look to those they follow on social media, be it peers or influencers, to see which new trend they should adopt next. They place heavy emphasis on brand loyalty as well. Furthermore, Millennials tend to enjoy drinking, with a reported 60% stating that they drink alcohol at least once a month. With this in mind, Corky Wines was born.

Corky Wines is a wine service offering customizable enhanced wine products targeted towards Millennials. Offering an optional subscription service that provides subscribers with more options than single purchase options, Corky Wine is customizable every step of the way. Corky Wines knows how important it is for Millenials to feel like their voice is being heard, which is why customization is at the heart of Corky Wines brand. Consumers can choose between different bottle sizes, and choose which wellness add-ons they would like to infuse their wine with. Founded by Millennials for Millennials, Corky Wine allows consumers to customize every aspect of their wine. The following report describes current trends amongst Millennials and illustrates how Corky Wines can effectively become a Millennial favorite wine brand.

Secondary Research

"Millenials are the generation born between 1977 and 1994 who, in 2019, are between the ages of 25 and 42. Millennials are now the largest consumer generation, with roughly 79 million members, and their incredible diversity presents both challenges and opportunities for brands and marketers (Mintel, 2019)", states Chris Shadle, Financial Services Analyst at Mintel. Although the size of the population for millennials varies from source to source, with an estimated 72.1 (Pewresearch.org) to 87 million (CNN Business), millennials still outnumber any other generation and their purchasing power does the same. Senior Lifestyle and Leisure Analyst at Mintel Kristen Boesel states that "Marketers have focused attention on millennials for years and rightfully so….represent[ing] approximately one-quarter of the US population" (Mintel, 2019). With Millenials living through so many formative and world-changing moments, including the boom of technology, their habits are largely different from those of generations before. A Nielsen report states that Millenials are the "future front-runners in generational spending power" (Nielsen, 2018).

One major difference between millennials and other generations is the fact that millennials are buying less long-term items, like homes, and are more likely to be living at home for longer periods. With 15% of Millennials living at home in 2018, this was almost double the 8% of early Boomer and Silent generations (Pew Social Trends, 2019). Furthermore, a fair number of millennials (over 12%) are planning to rent for perpetuity (Business Insider, 2019). Some millennials simply don't want to buy a home, citing flexibility, seemingly endless costs associated with buying a home, and the belief that it is risky, especially after living through the housing crash in 2008. Another deciding factor is that, quite simply, a majority of millennials cannot afford to buy a home. This can be attributed in large part to the sheer volume of

student-debt that the Millennial generation has. A study by Apartment List found that for millennials with no student debt and a college degree, they have, on average, $18,914 saved for a down payment. For millennials with a college degree and student debt, the amount saved for a down payment is only $8,200- almost $11,000 less (Business Insider, 2019).

Continuing along the education path, about 39% of Millennials have a bachelor's degree or higher, a 10% increase from Gen X, and a 15% increase from Boomers (Pew Social Trends, 2019). However, this surge of education comes with a hefty price tag. A Forbes article states that the net price at a public, four-year college has increased 68% since the 1999-2000 year (Forbes, 2019). The student debt crisis has reached a record of $1.6 trillion, with the average student loan debt being $32,731 (Forbes, 2020). This staggering amount is yet another hindrance to a Millennial's ability to save.

Being the first generation that grew up with technology, it should come as no surprise that Millennials are incredibly tech-savvy and that this technology influences their purchases. Millennials place a heavy emphasis on social media and are particularly influenced by their peers and influencers they follow. An article on O'Dwyer's PR website found that "Nearly half (44%) of Millennials admitted they've already bought a product or service because of an influencer". Furthermore, brands can utilize user-generated content as a way to market their products. This content is more meaningful to millennials than standard model shots because it shows the product in the "real world" on one of their peers or an influencer they follow.

Along with this tech-savviness comes the ease of information, which Millennials utilize often when shopping. While many believe that Millenials strictly do their shopping online, that is only partially true. A large number of Millennials still frequent brick and mortar stores, however, they refer back to online channels for reviews and ratings. Moreover, Millennials will often find

a product in stores they would like, and then scour the web to find it cheaper from a different store possibly, a practice known as “showrooming”. Millennials place a high value on price, with 75% influenced to shop during a sale/promotion and 30% considering themselves to be bargain shoppers (Forbes, 2017).

It has become apparent that millennials value experiences over material things and have become the driving force behind what is called the “experience economy”. Inc. author Anne Gherini attributes this to the “rise of social media on-the-go” (Gherini, 2018) and the fact that seeing other’s experiences and constantly comparing them is at the tip of a consumer's fingertips. Additionally, Forbes argues that this “experience economy” boils down to one simple thing-happiness (Forbes, 2019). Millennials have more of an opportunity to become part of a culture, form new friendships, and be exposed to more diversity through experiences. This experience economy is also ushering in a change to the way brands market. Event platform Bizzabo estimates that “41% of marketers now believe that events are the single-most effective marketing channel over digital advertising, email marketing, and content marketing”.

In a surprising twist, Millennials are fairly brand loyal, but with a few caveats. A 2015 Forbes study found that brand engagement is paramount to brand loyalty, with “62% of Millennials...loyal to brands that engage with them on social networks” (Forbes, 2015). Additionally, a 2013 Accenture study found that millennials value a customer-centric experience and “being treated like a valued customer” (Accenture, 2013). Millennials also want brands that line up with their values and maximize their corporate social responsibility. A 2015 Cone Communications Millennial CSR Study found that “More than 9-in-10 Millennials would switch brands to one associated with a cause” (Cone Communications, 2015). So, while Millennials can be and are brand loyal, they make their brands work to earn their loyalty.

Brand Audit

Brand Name and Meaning

Corky Wine knows just how important it is that consumers feel seen and heard. With this in mind, Corky Wine set out to offer an online wine brand offering customizable enhanced wines targeted towards Millennials with an option for both a monthly subscription and a commitment free "buy as you please" option. Founded by Millenials, Corky Wine knows what they want from a product- customization, intentionality, and aesthetic. With an ever-growing wellness market and a growing "sober curious" movement, intentional drinking has become a focus for some Millennials. Corky Wine was built for these intentional moments, from dinner parties with friends to unwinding after a long work. Corky Wine offers consumers the opportunity to indulge and relax with a glass of wine when they want to while being able to feel better about it by infusing it with wellness-related products, like adaptogens and essential oils. For even more customization, Corky Wines provides the chance for consumers to customize their wines through our Winelab, offering different sizes ranging from single-serving bottles, half-sized bottles, and full-sized. With a subscription, the Winelab is enhanced even further, offering more options to subscribers than to those who make one-time purchases. Consumers now don't have to feel the pressure to buy a full bottle of wine when a glass is all they really want.

Corky Wine's mission is to make your wine truly your own. Whether you want to amp up your immunity, get some help with stress, or just relax before bed, Corky Wine will change with you. With wines that are customizable every step of the way, consumers can feel good about what they are drinking. After all, they helped create it.

Product Features & Benefits

Corky Wine is an online wine service that offers products of enhanced wines, with the option for a monthly subscription as well. These wines can be infused with adaptogens, essential oils, flowers, and herbs. Corky Wine allows consumers to customize what wellness products they would like, with options for stress, sleep, immunity, and more. Adaptogens are herbs and plants that have been used for centuries in other cultures healing traditions but have just recently become popular in mainstream wellness. Essential oils are the essence of a plant, distilled down into an oil. For stress, Corky Wine offers ashwagandha, which has been proven to help reduce cortisol levels. For sleep, Corky Wine offers herbal supplements like peppermint leaf and chamomile and the adaptogen tulsi. For immunity, Corky Wine loves the herbal supplement oil of oregano, a natural antiviral with antioxidant properties.

Through the "Winelab" service, Corky Wine offers not only the customization of taste and ingredients, but also offers different sizes from single-serving bottles, to half-sized bottles, and full-sized bottles. While Winelab is available to both subscription users and single-purchasers, subscribers get even more options to personalize their bottles. With a user-friendly website and an aesthetically pleasing social media platform, Corky Wine is able to appeal to millennials with their online presence as well. Personalized wine is now just a few clicks away, and Corky Wine is always available to answer any questions or concerns that might come up during the customization and purchasing process.

Corky Wine's services and products strive to offer wine for any situation, whether that be a single glass before bed or a bottle (or three) for a dinner party. Corky Wine also allows consumers to customize what wellness products they would like, with options for stress, sleep, immunity, and more.

S-T-P: Segmentation, Targeting, & Positioning

Segmentation

The heart of Corky Wine's foundation is people. How people feel when they try this product, what memories they make with Corky Wine, why each bottle is personalized the way it is, etc. The segmentation of this brand is definitely more psychological in essence. Corky Wine is marketed to consumers who enjoy the small things and the memories that come with it. Consumers who want to make memories that are tied with cozy nights, friends, family, special milestones, and new beginnings. Corky Wine helps consumers make new memories by bringing people together, and by also making them feel all of those emotions that hit their sweet-spots at the right moment. It's not just a drink that consumers can enjoy—it is part of the special memories that will be with them for years to come. Corky Wine desires to become a brand that consumers can use as a mood ring that reflects their emotions, and one that invites new lasting memories. Innovation, passion, and experience are some of the core values that Corky Wine prides itself on, and are values that will reflect onto the consumers.

Targeting:

Corky Wine is targeted towards the millennial demographic. Millennials make up the majority of the world's population, and the age range is that required of the legal drinking age. By offering products that are delivered right to their door, Corky Wine supplies efficiency to a generation that is constantly busy and on-the-go. Millennials value innovation and quality and Corky Wine promises that with every bottle. These are consumers that value brands that can offer individuality and creativity, and consumers get to experience that from this brand in every aspect and also the magnitude of it.

Brand Positioning

Corky Wine prioritizes its consumers and makes sure that they get not just a satisfactory experience from their wine, but also an impressionable one that becomes treasured. Our consumers are what shapes this brand, so Corky Wine makes sure that this brand isn't a one-stop shop for its consumers, but instead a community. Our target market loves customization and products that are tailored to their needs. Corky Wine is able to fill the gap in the customizable wine industry. Corky Wine faces competition from Kin Euphorics and Rock Grace, they are the

only companies in the market to offer adaptogen enhanced wines/beverages. Corky Wine is the brand that is able to provide the full taste of fun.

Positioning statement:

"For health-conscious millennials, Corky Wine is an online wine brand that offers both a subscription service and commitment free wine products that allows customization of enhanced wines through":

- Our unique offering with enhanced wines offers full customization through Wine Lab.
- Virtual wine taste testing
- A customized wine bottle for your needs- and no one else's.
- We have an extensive adaptogen and essential oil wine portfolio.
- Subscription Service is customizable.
- Every bottle of wine is made just for you.

Brand Equity

Corky Wine strives to be a brand that can make and maintain positive long-lasting relationships with its consumers. Corky Wine wants to dominate the wine industry with its fresh and innovative outlook that coincides with the rapidly growing era.

Awareness

Corky Wine has built its brand around innovation, and when it comes to the millennial demographic, that is something that they value greatly, and it is what entices them. Corky Wine plans to reach its consumers in various ways. Corky Wine plans on grabbing the attention of consumers through endorsers such as Influencers. In this new era, Influencers are the ones that inspire many into trying new products and services. They have a platform where they have built loyalty, and many have amassed a cult following. Corky Wine plans on partnering with influencers through sponsorships and paid advertising to draw consumers in. This use of influencer marketing has become widely popular, especially among the millennial generation, who are known as the digital generation.

Corky Wine also intends to pull consumers in through the use of social media advertising. Social media platforms such as Instagram, Twitter, TikTok, and Facebook are heavily used by many brands to promote themselves, and their products and services. Many also have features which help amplify brands messages. For example, Instagram has the regular sponsored ad in the feed, but now there are also sponsored Instagram stories. Corky Wine plans to use sponsored ads within these platforms that can entice consumers and spark their curiosity about getting to know more about the brand.

Corky Wine's website features pictures of people with their very own Corky Wine bottles. Whether that be personalized bottles, in events, celebrations, milestones, and even the small moments. Corky Wine aims to build a community. These pictures show a glimpse of how each bottle represents moments in Corky Wines' consumers' lives that have become memories. Corky Wine understands how precious every moment is, and that is why they want their consumers to truly experience each with every bottle of wine. This is a message that they make known on the website and through different social media platforms. Corky Wine uses social media platforms such as Instagram, Twitter, and TikTok to endorse new products and flavors, and also to engage with consumers on which adaptogens and essential oils they would like to see in products. Through social media, Corky Wine can engage with people, gain new perspectives for the future, and get a variety of different insights.

Association

Corky Wine is a brand that has strong associations to celebrations, events, gatherings, self-care and emotions like comfort, nostalgia, bliss, and etc. each bottle of wine is an experience that consumers can cherish and hold on to. When consumers think of Corky Wine, it will be a reflection on the experiences they had from the wine. Just like the personalized bottles, consumers get to personalize their moments as well. Whether that bottle is for weddings, baby showers, new jobs, friends/family gatherings, individualized moments, and etc.—there is a bottle for every occasion. With already a large range of adaptogens and essential oils available, Corky Wine continues to add to its flavor portfolio.

Loyalty

Corky Wine's main priority is their consumers. At the foundation of this brand is the people that have inspired and nurtured it. Corky Wine wants to create the best for its consumers, and build relationships that last. Corky Wine uses social media to reach its consumers and interact with them. The brand uses twitter polls, Instagram brand accounts, and a variety of other tactics to gain insights on what consumers want and also how Corky Wine has been a part of their lives.

Millennials are a generation that trust brands who have a higher purpose. Corky Wine's higher purpose is producing environmentally efficient wine that has organic, certified, and sustainably grown ingredients. Corky Wine is infused with adaptogens and essential oils, and we make sure that they are of the best quality. Corky Wine makes sure that in producing the wine that is meant to nourish our consumers, the environment is not being malnourished. Sustainability and environmental health are one Corky Wine's brand promise, and one that consumers will react positively to.

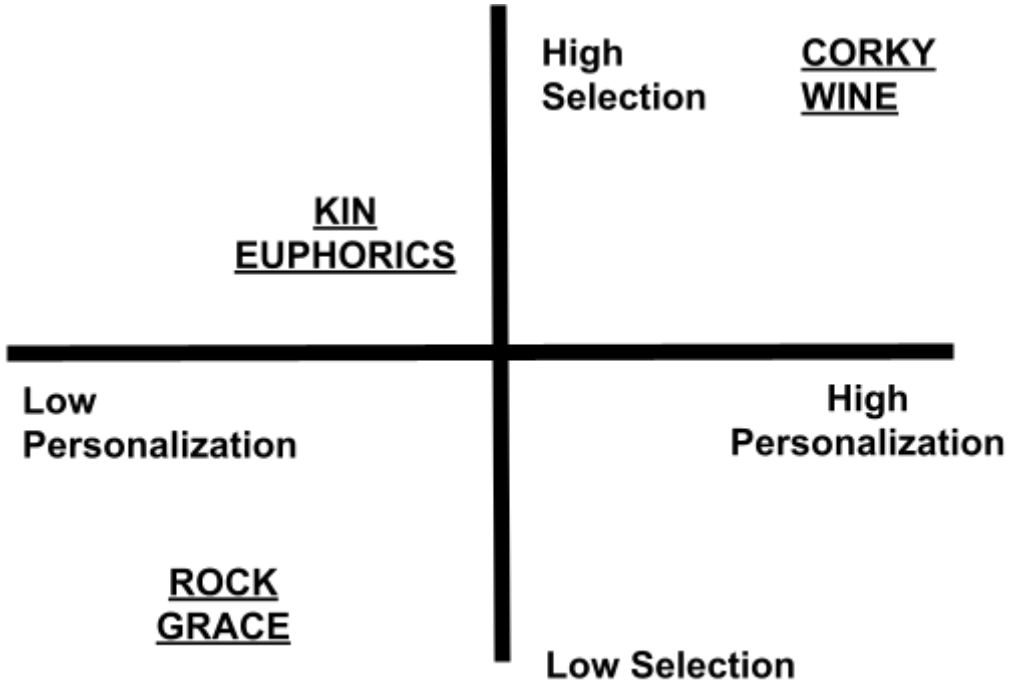
Another way Corky Wine builds loyalty is through customization. Consumers have the unique opportunity to customize and personalize their very own wine bottle through Corky

Wine's Wine Lab. This personalization makes the wines more special and memorable because they signify moments and events that consumers will hold on to long after the wine has been consumed.

Competitors

Some of Corky Wine's major competitors are Kin Euphorics and Rock Grace. Kin Euphorics combines adaptogens, nootropics, and botanical ingredients to create premium non-alcoholic beverages. Their beverage line consists of three beverages; Kin Spritz, High Roade, and Dream Light. Kin Euphorics exclusively sells their beverages on their online website. There is a medium selection of products with mid personalization as a consumer can pick a beverage based on their needs. Rock Grace is a premium non-alcoholic beverage company that combines energy, beauty, and wellness to its products and brand. Adaptogens and botanical ingredients are used in some of their beverages. Rock Grace delivers its products exclusively online as monthly and seasonal releases. Because of their low selection of products, they offer little to no personalization. On the other hand, Corky Wine is able to offer full personalization as Corky Wine consumers can choose from red and white wines, and different adaptogen, essential oils, and botanical herb add-ons. Corky Wine's premium wines are sold exclusively online in a subscription-based model. Corky Wine's website also offers one-time purchase options on Corky Wine products. Corky Wine offers a selection of mini, half, and full 750ml bottles.

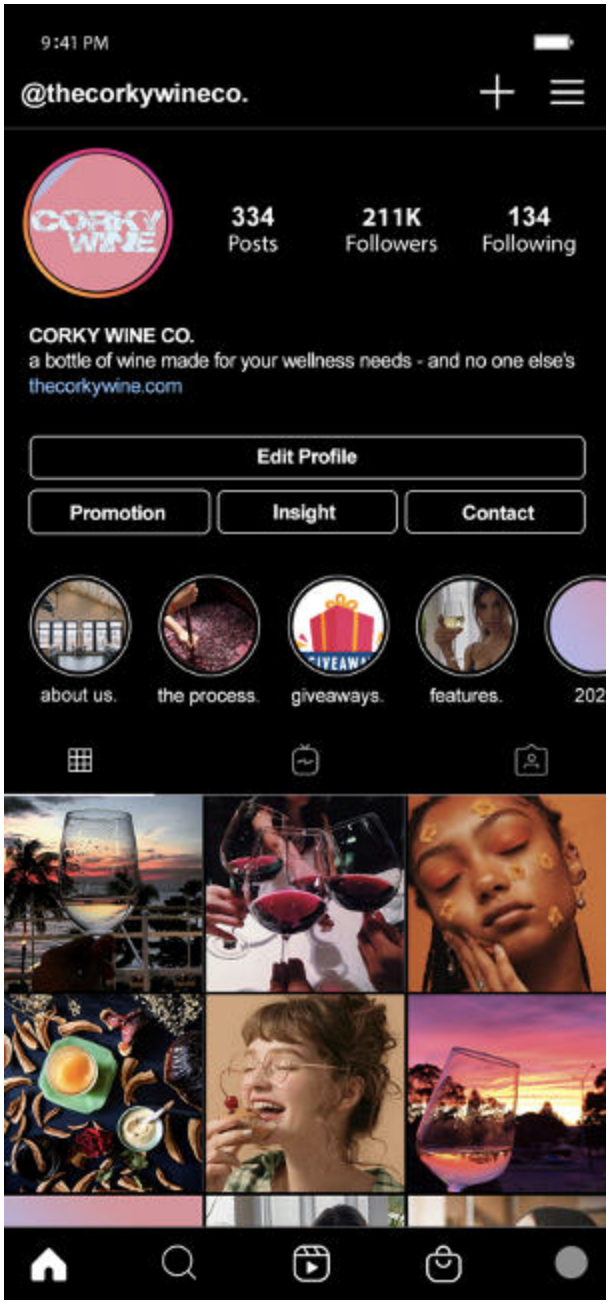
Positioning Map



Visual Brand Language







Corky Wine's bottle design has a light blue logo design, a newspaper that is all good news, and two of our most important statements that make the Cork Wine special. Corky Wine is described to be a bottle made just for you and a bottle made for your wellness needs. Corky Wine is currently bottled in two different colors cyan and rose gold. Corky Wine's bottle design is what differentiates themselves from other traditional wine companies. The color of the bottle doesn't represent its contents as every bottle is made differently. Corky Wine has an Instagram

page that is aesthetically organized. Corky Wine's posts consist of different glasses of Corky Wine being enjoyed in different scenes. All Instagram posts represent Corky Wine. Adaptogens is what makes people feel euphoric, happy, and stress free. Corky Wine's Instagram is able to represent the effects of consuming Corky Wine as some posts are of people feeling lifted and happy.

Recommendations: Brand Extensions and Line Extensions

With a growing "sober curious" movement amongst millennials, Corky Wines should consider a brand extension of a non-alcoholic version of their wine. An article by Julie Kendrick on HuffPost states that "The age groups more likely to remain sober-curious are younger millennials, those ages 23 to 25" (Kendrick, 2020). The "sober curious" movement is, as its name suggests, one where people are more intentional with their drinking, often drinking far less than they were before or abstaining completely. It allows people the chance to explore sobriety, without the rigidity of a program like AA. A 2020 CNN article stated that the number of adults in the United States not in school who chose to abstain from alcohol rose from 24% in 2002 to 30% in 2018. This is a steady increase and could prove to be a beneficial move for Corky Wines. Furthermore, a non-alcoholic competitor, Seedlip, was bought by the drink corporation Diageo. Being in company with brands like Johnnie Walker and Smirnoff, this acquisition is a sign that the non-alcoholic industry is a good move. While there are non-alcoholic competitors on the market already, they are not customizable and they are marketed as hard alcohol replacements like gin and bourbon, which gives Corky Wines an advantage as the only wine option.

On the flip side, Corky Wines could also consider branching out into hard liquor, which competitors like Seedlip and Kin Euphorics have tapped into but only with non-alcoholic versions. An article in USA Today stated that there was a 1% decrease in wine sales in 2019, for the first time in 25 years. Meanwhile, there was a 2.5% increase in overall alcohol sales, which means Americans are still consuming alcohol. Although a 1% decrease in wine sales is not enough to be of concern to Corky Wine, it does provide some insight into what the future could hold.

Finally, while initially starting as e-commerce only, once Corky Wines understands the trends of their consumers, the brand can bring the most popular wine varieties to grocery stores, to eliminate the need to wait for the wine to arrive. Brick-and-mortar grocery stores account for nearly 44% of wine sales, which could be a huge margin of opportunity for Corky Wines once they understand the taste trends of Millenials.

Marketing Strategy

Pricing

Corky Wine is priced to be a premium brand that is still affordable for millennials, and still competitive against its rivals (Seedlip, Kin Euphorics, and Rock Grace), that is why Corky Wine uses competition-based pricing. The main goal for Corky Wine is to create authentic products which are still affordable. Millennials are known as a generation that is very price conscious, because of accumulated debt. Corky Wine's pricing strategy strives to be more inclusive when it comes to what type of millennial is buying our product.

Full sized bottles (750 ml) are priced at $25-$35, half sized bottles (375 ml) are priced at $15, and single servings (187 ml) are priced at $8. The $25-$35 price range is provided for full sized bottles because of adaptogens and essential oils. The $35 bottles are ones that have a larger flavor variance. For example, they can have up to 3 adaptogens and 3 essential oils. Those bottles are also the ones that are "seasonal" and 'limited editions". These bottles are ones that have adaptogens and essential oils that are only available for a limited period. Corky Wine offers three sizes for bottles, which vary heavily in price. This allows for us to be inclusive to many types of millennials and their preferences. Corky Wine's prices are comparable to that of Kin Euphorics. Corky Wine's bottles are more inexpensive compared to Kin Euphorics. With Corky Wine, consumers get premium wine at a low cost.

Consumers have the option of either choosing a month subscription, or shopping on our websites for specific wines. With the subscription service, consumers can have bottles delivered right to their door every month. The subscription is intended for consumers who want consistency and want to save time. Customers get a new bottle of wine every month customized to their needs, and they also get wines at a wholesale price rather than the retail price. Subscribers also get more out of Wine Lab. They get access to more features, and infusers. "one-time-purchasers" can shop on our website without the need for commitment. They have access to our large wine portfolio, and also Wine Lab—but it's more limited and they are charged with the retail prices for the wines.

Products

Corky Wine is a brand that is meant for every occasion. This brand aims to create wines which not only celebrates the occasion, but also the consumer. Corky Wine is made with trusted ingredients that is enjoyed by so many. Corky Wine has taken that popular drink and made it into something that's creative and fresh. Corky Wine is targeted to the "every millennial". The millennial demographic is huge. This brand realizes that there are a variety of different millennials, and so we aim to have preferences and features which can satisfy all of their needs. Corky Wine includes a large adaptogen and essential oil portfolio. These infusers add the touch of wellness to wine. Consumers feel good about the wine they are consuming because it is healthy and made with sustainable ingredients. Some of the adaptogens that Corky Wine offers are ginseng, basil, maca, rosemary, reishi mushroom, and etc. Some of the essential oils that are offered are lemon, lavender, grapefruit, peppermint, cinnamon, and etc.

Wine Lab is a place where consumers can go to design their very own bottle. Subscribers have the unique opportunity of getting unlimited access to all of the features, whereas "one-time-purchasers" are limited to them Some of those premium features include personalization of the packaging, access to every adaptogen and essential oil, and gift wrapping. This personalization is a factor that makes the wine feel more special. Subscription members have the opportunity to change the packaging. Which means they can put a picture of their loved one, their favorite destination, or something else symbolic as the packaging for the bottle of wine. This feature is great when it comes to special occasions such as weddings, graduation, birthday parties, and etc.

Corky Wine's packaging is minimalistic, while also being trendy. The bottle itself is frosted glass, with packaging that comes in the colors rose gold, and cyan. The wine itself is already fun and has a lot going on, so Corky Wine makes sure that the packaging is modern and sleek.

Distribution

Corky Wine is distributed using an exclusive distribution strategy. Custom made Corky Wine will be sold exclusively through their online website. Corky Wine's winery is based out of Napa Valley, California. Napa Valley is known for its world-class wine due to belonging in a premier wine-growing region. Corky Wine has several distribution and storage facilities in the Midwest and Northern part of California. These facilities are used for turning Napa Valley wine into what we call "Corky Wine" with the infusion of adaptogens, essential oils, and herbal spices.

As the popularity of Corky Wine increases, Corky Wine will change their distribution strategy to selective distribution. At select outlets in the California region, Corky Wine will be made available in-store. Our future partnership with Whole Foods will allow us to expand into supermarkets. With the help from Whole Foods, a kiosk will become available to Corky Wine that is used for preparing Corky Wine orders from everyday grocery shoppers and Corky Wine lovers. Wine lovers and wine enthusiasts will now be able to create their own bottle of wine at their specific needs, on demand. Consumers in the California region will no longer have to order Corky Wine online. Whole Foods will continue to satisfy and delight their customers by introducing Corky Wine into their supermarket. By expanding into supermarkets, Corky Wine will reach the eyes of consumers who have never heard our mission on providing a wine made for your wellness needs- and no one else's. Corky Wine will continue to sell their subscription-based products and one-time purchases on their online website.

Promotion

When it comes to promotion, Corky Wines will primarily utilize social media marketing, buy ad space in podcasts, and also use word-of-mouth. Since Corky Wines is targeted towards Millennials, these promotion tactics are ones that they will respond best to and are also relatively low cost, which is important for a start-up.

Corky Wines plans to raise **awareness** largely through influencer marketing and podcast ads. Corky Wines believes that influencer marketing is a good way to raise awareness because research has shown that Millenials place a fair amount of trust into the influencers and peers they follow. Corky Wines plans to target "micro-influencers", particularly accounts with 1,000 to 15,000 followers. These micro-influencers will not only save Corky Wines money when it comes to promotions, but the accounts tend to feel more authentic and more like friends as opposed to celebrities, which makes their opinions more valuable to Millennials. Corky Wines will also use ads in podcasts to raise awareness. A recent LinkedIn study found that 42% of people in the Millennial age range listened to podcasts. With Corky Wine's target market constantly being on the go, being in their ear is an effective way to market to them.

Corky Wines will **create interest and desire** by giving influencers a promotional code that can be redeemed for two single serving samples of wine. The wine samples will be of Corky Wines stress and immunity add-ons, two of the most popular add-ons. Corky Wines believes that by offering only two of the available options, consumers will be more tempted to return and try the other more customizable options.

Finally, Corky Wines will encourage **action** by utilizing a sort-of rewards program. With every purchase, Corky Wines will include a "thank you for your purchase" postcard. This postcard will not only detail Corky Wines point of differentiation, but it will also include a

promotional code for 15% off future orders. Additionally, Corky Wines will offer a promotion where if a consumer shares their purchase with five friends online, or posts about it on social media and tags Corky Wines social media outlets, they will receive a BOGO promotional code. Since exposure to the brand and user-generated content is meaningful to Millenials, this will have more of an impact for Corky Wines, and consumers will be rewarded more. Either way, consumers are encouraged to repurchase through promotional codes.

Financials

Corky Wine's business model is mainly subscription-based, with consumers choosing from half or full bottles per month and are billed monthly. Consumers are still able to complete one-time purchases of Corky Wine products through their online website. Operationally, the model is centralized by region, which helps reduce overall costs. The Napa Valley wine is to be stored at Corky Wine wineries in the Northern California region. The selective expansion into supermarkets will allow overhead costs to be shared. Corky Wine kiosks and facilities in supermarkets will be used for production and distribution of Corky Wine for in-store and online purchases. The need for multiple wineries and distribution facilities will no longer be needed as supermarkets will be used to fulfill orders.

Currently, the wine market in the U.S is estimated at $88 billion and is forecasted to grow to $93.5 billion by the year 2027. Corky Wine wants to take advantage of this growth to offer personalized wine to the market. Corky Wine's strong pricing strategy is key to growth in the subscription-based market. Our personalized wine bottles starting at $25 a month will allow Corky Wine to continue having a subscription-based revenue model. These recurring revenue models will lead to higher revenues and most importantly, stronger customer relationships. Corky Wine will distribute and operate in a highly populated and dense area like California. The current target market (California) has a population of 39.5 million people. Corky Wine expects 10% of the target market to subscribe with an average of $25 per bottle per month. Our access to

395K potential Corky Wine subscribers will bring a potential yearly revenue that equates to $118.5 million. California is currently home to 10 million millennials. If 5% of the millennial population were to subscribe to Corky Wine, the potential yearly revenue equates to $150 million. Corky Wine's goal is to produce 300,000 gallons of wine per year. The estimated investment cost for a 300,000-gallon bulk winery is $3,538,725. Corky Wine's large winery will allow for efficient production and low profit margins ($4.65 per gallon for a 300,000-gallon winery).

Conclusion

The millennial generation is currently the biggest generation. It is a generation that has changed the way marketing is done. They are consumers who are price conscious, always on the go, and who crave innovation. Corky Wine satisfies all of those needs and more. Corky Wine believes in efficiency and values innovation. Corky Wine is an exclusive brand based out of Napa Valley, California that is available only online for now. This brand has taken traditional wine and altered it so that it has a creative and fun kick to it. Corky Wine's wines are infused with adaptogens and essential oils which is what sets it apart from other brands of wine. This wellness aspect is also appealing to the millennial demographic since they are a generation that is more health conscious. Through the website consumers can make one-time purchases, or they can subscribe to our wine service that delivers a customizable bottle every month.

Corky Wine's brand strategy uses a number of marketing tactics to pull new customers in, and increase the loyalty of established ones. One main tactic is through the use of influencer marketing. By using influencers to push out our products, we can reach many people and create a positive buzz. Corky Wine uses this popular form of marketing so that it can gain traction and

eventually launch kiosks and products in supermarkets. At the heart of Corky Wine is people. This brand wants to create experiences for consumers through the wine that they will remember for years on end. Through Wine Lab, consumers can personalize their wines to amplify the emotions that the wine can introduce. Emotions such as nostalgia, pride, bliss, triumph, and etc. Corky Wine aims to be a mood ring that captures all of these feelings. Through the partnerships with influencers, podcast and social media advertising, and high online engagement, Corky Wine plans to build on its brand equity and expand its community. Corky Wine's future goals include branching out of online exclusivity, and into well-known supermarkets as well as setting up store fronts.

Appendix

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